

Interview Feedback

Brew & Bean Profitability · 2026-10-06 · Overall: needs work

Top improvement

Commit to an answer first, then support it. When asked to prioritize or recommend, state a choice and one reason in a single sentence, even if tentative, and don't deflect or apologize. Example: "Costs first, because revenue grew while margin fell." Or: "Raise prices first, because they've been flat for two years while inputs rose about 38%, and that addresses all 16 points of COGS, not just the 4 from beans." You had the analysis to answer both questions; you needed to say it.

Rubric Scores

Problem Structuring

needs work

What went well

The candidate asked a well-targeted clarifying question about pricing that later unlocked the diagnosis.

"Do we know if they changed menu prices at all over those two years?"

What needs work

The opening framework was a generic revenue/costs/external split with no restated objective, no sub-points (volume × price, COGS/labor/overhead), and no tailoring to a coffee chain.

"So I guess I'd look at three things. First, revenue — like what's happening with sales. Second, costs — what they're spending money on. And third, maybe external stuff, like competitors or the market."

Once given the flat-price fact, the candidate reasoned cleanly from revenue growth to a cost focus and correctly inferred volume growth. Before that, though, the candidate was asked four times to prioritize a branch, deflected with more clarifying questions, and reached a cost hypothesis only after the interviewer restated the question (Level 1 assist) and supplied that fact.

"hmm, I'm not sure. I guess costs? But I'm not confident."

"I'm stuck, sorry. I don't really know where to start."

"Okay — if prices are flat and revenue still grew, that's more customers, not higher prices. So revenue's going the right way. Which means costs must be growing faster than revenue. So costs."

Missed opportunities

Opening structure at turn 2, after the prompt that margin fell from 24% to 6% while revenue grew 15%.

A great answer: "Our goal is to find why margin fell 18 points despite 15% revenue growth, and how to reverse it. Profit is revenue minus costs. On revenue, I'd split volume (stores × traffic) from price and mix. On costs, I'd look at COGS (beans, dairy, packaging), labor, and overhead/rent. I'd also check external factors: are peers seeing the same squeeze, and do we have pricing power? Since revenue is growing, my hypothesis is that costs, probably input costs, outpaced flat prices, so I'd start there."

Turn 3: the interviewer asked which branch to prioritize given revenue grew while margin fell, and the candidate responded with another clarifying question.

A great answer: "Costs first. Revenue rising while margin collapses means costs are growing faster than sales. I'd still confirm price versus volume on the revenue side, but the answer most likely sits in the cost lines."

Quantitative & Analytical Rigor

needs work

What went well

The bean-versus-other-inputs decomposition was excellent: it converted a share of COGS into points of revenue correctly ($25\% \times 42\% = 10.5$ points; $\times 40\% \rightarrow 4.2$), sized the other inputs at 11.8 points, and checked that the two sum to the 16-point jump.

"Two years ago COGS was 42% of revenue, and beans were 25% of that, so beans were about 10.5% of revenue. Up 40% makes them about 14.7%. So beans add roughly 4 points."

"4.2 plus 11.8 is 16 points, which matches the jump."

The candidate stated the business implication of the split rather than stopping at the numbers.

"So beans only explain about a quarter of it. The rest is dairy, packaging and food."

What needs work

The candidate computed 16% of \$480M as \$48M and repeated that figure across several turns despite step-by-step hints. It was corrected only after the interviewer broke it into $\times 10$ plus $\times 6$. The correct figure is $16 \times \$4.8M = \$76.8M$.

"10% is \$48M, so 16% is... about \$48M?"

"\$4.8M times 16... I want to say \$48M again. I know that can't be right."

This was a framing error, not arithmetic: 16 points of revenue $\times$ \$480M is already the margin hit, because expressing COGS as a share of revenue removes volume growth. The candidate treated it as raw spend that still needed to be split from volume growth.

"So roughly \$77 million of extra cost, and I'd want to know how much of that is just volume growth versus higher cost per cup."

Missed opportunities

Turn 18, sizing the 16-point COGS jump in dollars.

A great answer: "1% of \$480M is \$4.8M, so 16 points is 16×4.8 , which is \$48M plus \$28.8M, or about \$77M. Sanity check: that's roughly the 18-point margin drop of about \$86M, less 2 points of overhead, so it fits. Because it's measured as share of revenue, this is the margin problem itself, net of volume growth."

Data & Exhibit Interpretation

strong

What went well

The candidate read the cost-structure exhibit line by line across all three years and isolated COGS as the driver, with overhead a minor contributor.

"It shows COGS climbing steadily — 42 to 50 to 58, so about 8 points a year, pretty linear. Labor is flat at 22 the whole time. Overhead creeps up 12, 13, 14. And profit falls almost exactly in step with COGS: 24, 15, 6."

"So basically every point of margin lost went into COGS, plus a couple points to overhead."

The candidate drew a forward-looking implication from the trend: this is an ongoing squeeze, not a one-off shock.

"It implies this isn't a one-off price shock two years ago — it's been getting worse every single year and nothing has been done about it. And if it keeps going at that rate, next year they'd be at zero or negative."

On the cost data, the candidate named COGS specifically, proposed opening it up by input, and showed that beans alone cannot explain the jump. However, the bean test was prompted by the interviewer rather than volunteered, and the exhibit response itself ended at the implication without naming the next analysis.

"COGS, definitely — it jumped 16 points while labor's flat."

"I'd test it by breaking COGS into inputs — beans, milk, cups — and seeing which one moved."

"And if it keeps going at that rate, next year they'd be at zero or negative."

Missed opportunities

Turn 38: closing out the exhibit read.

A great answer: "...so next I'd look at which of dairy, packaging, and food moved most per cup, and compare our pricing against peers to see how much increase the market will bear."

Business Judgment & Insight

adequate

What went well

The levers were commercially sound and tied to the analysis: pricing given two flat years, and procurement aimed at dairy and packaging rather than beans.

"I guess the obvious one is pricing — they haven't raised menu prices in two years while every input went up."

"renegotiate contracts or consolidate purchasing across the 200 stores, since dairy and packaging are the bigger chunk, not beans."

What needs work

No risks or mitigations were raised for any lever. For example, the candidate did not consider customer price sensitivity or traffic loss from a price increase.

"Even a small increase would flow straight to margin."

The candidate made waste/portion control conditional on evidence rather than asserting it, and avoided relying on store data that did not exist. Elsewhere, though, the candidate made unjustified assumptions, such as treating beans as the biggest input when they were only 25% of COGS.

"I'd guess coffee beans, since that's the biggest input and commodity prices move a lot."

"And maybe waste or portion control, if cost per cup rose more than input prices alone would explain."

"On stores, I don't know, maybe close the weakest ones? But we don't have margin by store."

Missed opportunities

Turn 40, proposing pricing as the first lever.

A great answer: "Pricing is the biggest lever, but the risk is traffic loss. I'd raise prices selectively on specialty drinks where loyal customers are less price-sensitive, benchmark against peers, and test in a few markets before a full rollout."

Creativity & Brainstorming

adequate

What went well

The candidate produced a reasonable range of distinct ideas: pricing, procurement, waste, menu mix, portion reformulation, store closures, and loyalty.

"Or reformulate, like smaller portion sizes."

"Customer side... loyalty program to get people buying more?"

One idea was tailored and non-obvious: shifting mix away from milk-heavy drinks because dairy drives the cost increase.

"maybe menu mix — push the higher-margin drinks, like black coffee over milk-heavy lattes, since dairy is the problem."

What needs work

The candidate did not structure the brainstorm; the menu/store/customer buckets came from the interviewer's prompt.

"Um, maybe menu mix — push the higher-margin drinks, like black coffee over milk-heavy lattes, since dairy is the problem."

Ideas were never prioritized by impact or feasibility, and confidence faded on the second round.

"Sorry, I'm less sure on these."

Missed opportunities

Turn 40: the interviewer asked for the most promising levers.

A great answer: "I'll split levers into revenue-side (pricing, mix, loyalty) and cost-side (procurement, waste, reformulation).

By impact, pricing comes first, since 18 points went with no price move. Procurement on dairy and packaging is second, since that's 75% of the COGS increase. Mix shift toward lower-dairy drinks is a quick win to test."

Synthesis & Recommendation

needs work

What went well

The candidate produced crisp mini-syntheses after the analysis segments.

"So beans only explain about a quarter of it. The rest is dairy, packaging and food."

"So basically every point of margin lost went into COGS, plus a couple points to overhead."

What needs work

Asked for a final recommendation, the candidate gave no committed answer, even after a Level 2 hint narrowed the choice to four named options.

"Um. Honestly, I don't know."

"I'm sorry, I really don't know which one."

The candidate had already called pricing the obvious lever and supported it with analysis, but did not convert that into a recommendation, reasons, risks, or next steps.

"I guess the obvious one is pricing — they haven't raised menu prices in two years while every input went up."

Missed opportunities

Turn 43: the CEO asks what to do first.

A great answer: "Raise prices first. Menu prices have been flat for two years while input costs rose about 38%, pushing COGS from 42% to 58% of revenue. Pricing addresses the whole 16 points, not just beans, which are only about 4. Second, renegotiate dairy and packaging contracts, which explain the other 12 points. The key risk is traffic loss, so I'd pilot targeted increases on specialty drinks in a few markets and track volume before rolling out."

Communication & Delivery

needs work

What went well

When working through data, the candidate spoke clearly and in logical steps, especially in the bean decomposition and the exhibit read.

"Okay, let me try. Two years ago COGS was 42% of revenue, and beans were 25% of that, so beans were about 10.5% of revenue."

What needs work

Frequent apologies and requests for validation undercut authority and replaced hypothesis-driven statements.

"Sorry, is that what you were looking for?"

"Am I on the right track?"

The candidate repeatedly answered a direct question with a different question instead of answering first, so the prioritization question had to be asked four times.

“Um, and are these all company-owned stores, or are some franchised?”

“Sorry — one more. Do we know if they changed menu prices at all over those two years?”

Missed opportunities

Turn 34, forming a hypothesis on the COGS driver.

A great answer: “My hypothesis is that beans are a factor but not the whole story, since several inputs have inflated. To test it, I'd convert each input's share of COGS into points of revenue and see whether beans alone get us to 16.”

Pushback, Composure & Case Leadership

needs work

What went well

The candidate proactively asked for the data needed to test the hypotheses.

“Do we have a breakdown of the cost lines? Like rent, labor, coffee beans, that kind of thing?”

“Could I see that breakdown and the bean price change?”

What needs work

When challenged on \$48M, the candidate repeated the figure across several turns without re-deriving it. The candidate did incorporate the interviewer's decomposition once it was supplied and carried the corrected figure forward, but the correction came only after the interviewer provided the exact breakdown.

“16% of \$480M... 10% is \$48M, so 16% is \$48M. That's what I get.”

“1% would be \$4.8M. And then 16%... I still land on \$48M. Sorry.”

“\$4.8M times 10 is \$48M. And times 6 is... \$28.8M. So together, \$76.8M.”

The candidate relied on interviewer rescues at key junctures and did not lead: a Level 1 restate on prioritization and a Level 2 narrowing hint on the recommendation, after which there was still no answer.

“I'm stuck, sorry. I don't really know where to start.”

“I'm sorry, I really don't know which one.”

Missed opportunities

Turn 23: the interviewer pushed back on the \$48M figure.

A great answer: “Let me re-check that. 10% is \$48M and 1% is \$4.8M, so 6% is \$28.8M. That makes 16% about \$76.8M, so I understated it earlier. Since that's measured as share of revenue, it's the margin impact itself.”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you approach this problem?

Candidate · 1:14

Okay. So I guess I'd look at three things. First, revenue — like what's happening with sales. Second, costs — what they're spending money on. And third, maybe external stuff, like competitors or the market.

Sorry, that's kind of broad.

Interviewer · 1:16

Okay, revenue, costs and external factors. Given that revenue has grown while margin has fallen, which of those three branches would you prioritize first, and why?

Candidate · 1:18

Can I ask — when you say revenue grew 15%, is that total across all 200 stores, or per store?

Interviewer · 1:20

Okay. Total revenue is \$480M a year. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Average revenue per store is \$2.4M a year. With that in hand, which of your three branches would you prioritize first, and why?

Candidate · 1:23

Got it, thanks. Um, and is the 24% to 6% net margin — is that the average across all stores, or are some stores doing fine and some really badly?

Interviewer · 1:25

Okay. I don't have net margin by store. Before we go further, which of your three branches would you prioritize first, and why?

Candidate · 1:27

Sorry — one more. Do we know if they changed menu prices at all over those two years?

Interviewer · 1:28

Okay. I'll come back to menu price changes over the past two years shortly. I'll come back to that. First, which of your three branches would you prioritize, and why?

Candidate · 1:30

Um, and are these all company-owned stores, or are some franchised?

Interviewer · 1:32

Okay. I don't have company-owned versus franchised store mix. I need an answer on prioritization before we dig into data: of revenue, costs and external factors, which would you look at first, and why?

Candidate · 1:34

hmm, I'm not sure. I guess costs? But I'm not confident.

Interviewer · 1:34

Take your time. The question on the table is I need an answer on prioritization before we dig into data: of revenue, costs and external factors, which would you look at first, and why?

Candidate · 1:36

I'm stuck, sorry. I don't really know where to start.

Interviewer · 1:38

That's okay. On what you asked about earlier: Menu prices have not changed in two years. Revenue is up 15% while net margin fell from 24% to 6%. Based on that, what does it tell you about where the problem is more likely to sit, revenue or costs?

Candidate · 1:41

Okay — if prices are flat and revenue still grew, that's more customers, not higher prices. So revenue's going the right way. Which means costs must be growing faster than revenue. So costs.

Do we have a breakdown of the cost lines? Like rent, labor, coffee beans, that kind of thing?

Interviewer · 1:44

Okay, a cost focus. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Looking at those lines, which cost category do you think explains most of the margin decline, and how would you test that?

Candidate · 1:49

COGS, definitely — it jumped 16 points while labor's flat.

So in dollars, 16% of \$480M... let me do that. 10% is \$48M, so 16% is... about \$48M? Yeah, roughly \$48 million of extra cost.

Does that seem like it's in the right ballpark? I'd test it by breaking COGS into inputs — beans, milk, cups — and seeing which one moved.

Interviewer · 1:52

Okay, breaking COGS into inputs is a reasonable test. Walk me through the \$48 million: how did you get from 16% of \$480M to that figure, and is it the margin problem, or does it include cost that simply grew with revenue?

Candidate · 1:56

Um, so 10% of \$480M is \$48M, and 16% is... yeah, \$48M.

God, I'm so bad at this. Honestly I think I'm going to bomb every interview I do. I don't really know why I'm even doing this.

Sorry. On your other question — I think some of it grew with revenue, since more customers means more beans.

Interviewer · 1:56

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 1:57

I'm okay, really — thank you. I'd rather keep going if that's alright.

Interviewer · 2:01

Okay, glad to hear it. Let's pick it back up. You said some of that cost grew with revenue because more customers means more beans. Take 16 points of COGS and 10% of \$480M being \$48M: what would 16% of \$480M be, and how would you separate normal growth from the margin problem?

Candidate · 2:04

16% of \$480M... 10% is \$48M, so 16% is \$48M. That's what I get.

Sorry, am I on the right track here? To separate it, I guess I'd compare COGS per cup now versus two years ago — if the cost per cup went up, that's the real problem, not just more customers.

Interviewer · 2:08

Okay. Your cost-per-cup idea is a sound way to separate growth from the problem. On the arithmetic, you said 10% of \$480M is \$48M. Hold on to that, then tell me what 6% on top of it would come to, and what that gives you for 16%.

Candidate · 2:11

6% of \$480M... um. I keep getting that 16% is \$48M. Sorry, I think I'm doing something wrong but I can't see it.

Interviewer · 2:13

Okay. Let's slow it down. Starting from that 1%, what do you get when you build up to 16%?

Candidate · 2:15

1% would be \$4.8M. And then 16%... I still land on \$48M. Sorry.

I'm stuck on this, honestly.

Interviewer · 2:19

Okay. You said 1% is \$4.8M, and that's right. Sixteen of those, rather than ten, is the figure you want. Try multiplying \$4.8M by 16. What do you get when you multiply \$4.8M by 16?

Candidate · 2:22

hmm. \$4.8M times 16... I want to say \$48M again. I know that can't be right.

Sorry, I'm stuck.

Interviewer · 2:26

Okay. Break it into two pieces: \$4.8M times 10, plus \$4.8M times 6. Go on.

Candidate · 2:30

\$4.8M times 10 is \$48M. And times 6 is... \$28.8M. So together, \$76.8M.

Sorry, that took way too long. So roughly \$77 million of extra cost, and I'd want to know how much of that is just volume growth versus higher cost per cup.

Interviewer · 2:34

Okay. I can share the COGS breakdown by input and the coffee bean price change if you'd like. You said you'd break COGS into inputs to see which one moved. Given those figures, which input do you think is driving the cost per cup up, and how would you check it?

Candidate · 2:37

I'd guess coffee beans, since that's the biggest input and commodity prices move a lot.

Could I see that breakdown and the bean price change?

Interviewer · 2:41

Okay, a hypothesis on beans. Raw coffee bean costs are up 40% over the past two years. Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Using those figures, does the bean price change fully explain the jump in COGS? Show me how you'd test that.

Candidate · 3:21

Okay, let me try. Two years ago COGS was 42% of revenue, and beans were 25% of that, so beans were about 10.5% of revenue. Up 40% makes them about 14.7%. So beans add roughly 4 points.

The other inputs were 75% of 42%, so 31.5% of revenue. Up 37.5%... that's about 11.8 points more, so 43.3%.

4.2 plus 11.8 is 16 points, which matches the jump. So beans only explain about a quarter of it. The rest is dairy, packaging and food.

Am I on the right track?

Interviewer · 3:25

Okay. You've split the 16 points into beans and the other inputs. Take a look at this: Brew & Bean Cost Structure Over Time. Take a look at this exhibit and tell me what it shows and what it implies for the client.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 3:29

It shows COGS climbing steadily — 42 to 50 to 58, so about 8 points a year, pretty linear. Labor is flat at 22 the whole time. Overhead creeps up 12, 13, 14. And profit falls almost exactly in step with COGS: 24, 15, 6.

So basically every point of margin lost went into COGS, plus a couple points to overhead. It implies this isn't a one-off price shock two years ago — it's been getting worse every single year and nothing has been done about it. And if it keeps going at that rate, next year they'd be at zero or negative.

Interviewer · 3:31

Okay. You said earlier that beans explain only about a quarter of the COGS jump, and the rest is dairy, packaging and food, with prices not moved in two years. Given that, what are the most promising levers to pull?

Candidate · 3:36

I guess the obvious one is pricing — they haven't raised menu prices in two years while every input went up. Even a small increase would flow straight to margin.

Then supplier side — renegotiate contracts or consolidate purchasing across the 200 stores, since dairy and packaging are the bigger chunk, not beans.

And maybe waste or portion control, if cost per cup rose more than input prices alone would explain.

Sorry, is that what you were looking for?

Interviewer · 3:40

Okay, pricing, supplier terms and waste. Beyond those three, what else could the client do, on the menu, the store network or the customer side, to protect margin?

Candidate · 3:43

Um, maybe menu mix — push the higher-margin drinks, like black coffee over milk-heavy lattes, since dairy is the problem. Or reformulate, like smaller portion sizes.

On stores, I don't know, maybe close the weakest ones? But we don't have margin by store.

Customer side... loyalty program to get people buying more? Sorry, I'm less sure on these.

Interviewer · 3:45

Okay. Pulling it together: the CEO asks what you would do first. What is your recommendation, and why that lever over the others?

Candidate · 4:25

Um. Honestly, I don't know.

Sorry.

Interviewer · 4:30

Okay. Pick from what you've said so far: pricing, supplier terms, waste, menu mix. Choose one, say what you'd do first, and give me one reason for it over the others.

Candidate · 4:32

I'm sorry, I really don't know which one.

Interviewer · 4:32

That's our time. Thanks for working through this with me — your written report will follow.